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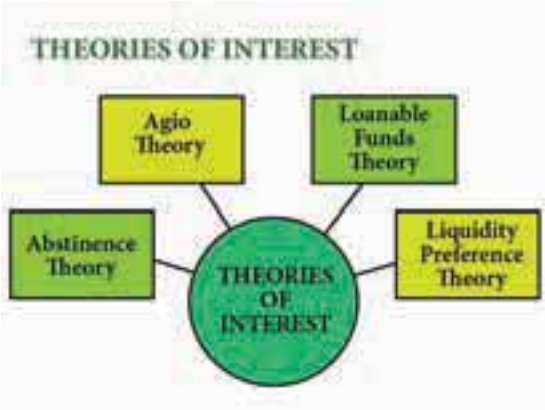
6.9 Theories of Interest



6.9.1 Abstinence Theory or Waiting Theory

This theory was propounded by N.W.Senior. To him, interest is the reward for abstaining from the immediate consumption of wealth. According to Senior, capital is the result of saving. But saving involves **"abstinence" or "sacrifice".** It is possible to save only if one abstains from present consumption. Such abstinence from present consumption involves some suffering. Hence, it is necessary to reward the saver (capitalist) to compensate for the sacrifice he has to undergo by abstaining from present consumption. Therefore, interest is the reward or compensation paid to the saver (capitalist) for his "abstinence" or "sacrifice".

Marshall accepted the Abstinence Theory of interest. But he used the word 'waiting' instead of "abstinence". Saving implies waiting. According to him, interest is the reward for waiting. Saving involves waiting. But people do not like to wait. So, in order to make them wait and in turn to save, we have to pay them some reward. Therefore, interest is the reward paid to the saver (capitalist) for his "waiting".

Criticism

1. According to this theory, saving involves suffering. But savings may not always involve suffering to some rich people. Rich people have money for which they do not get interest. Hoarding of money is to quench the thirst for liquidity.

6.9.2 Agio Theory of Interest / The Psychological Theory of Interest / Time Preference Theory

This theory was propounded by John Rae in 1834. But credit goes to Bohm Bawerk an Austrian School economist who has given final shape to the theory. The American economist Irving Fisher modified and gave a new theory viz Time Preference theory.

According to this theory, people prefer present goods rather than future goods. Because the present goods are more certain than future goods, just **"as a bird in the hand is worth two in the bush"**. Ther are many countries where no one knows what will happen next day.ASEAN crisis of 1996 and American crisis of 2007-08 were not predicted even for economists, including Nobel Laureats. So, when people save they have to postpone their present enjoyment or satisfaction. If one postpones one's present satisfaction, one has to be paid an **"Agio" or "Premium"**. This premium is "interest". People prefer present consumption than future consumption due to the risk increasing and uncertainties of the present world.

6.9.3 Loanable Funds Theory / The Neo Classical Theory

The Loanable Funds Theory, also known as the "Neo–Classical Theory", was